

**Table F7: Relationship between Perceived and Historical Effectiveness.**

This table examines the relationship between perceived and historical heuristic effectiveness. We estimate the following regression, equation (2) of the main paper:

$$\eta_{ihg}^P = \beta \eta_{hgc}^H + \alpha_i + \lambda_g + \varepsilon_{ihg},$$

in which the dependent variable  $\eta_{ihg}^P$ , *Perceived effectiveness*, is the five-point rating investor  $i$  gives to how effective heuristic  $h$  is at finding stocks that match objective  $g$  in her own local stock market, standardized within investor across all her ratings for the three financial objectives. The key independent variable  $\eta_{hgc}^H$ , *Historical effectiveness*, is the delivery of the heuristic on the objective in country  $c$  of the investor, estimated for the period running from July 2015 through June 2025, the ten years preceding our interviews (Section 5.3 of the main paper), and standardized within objective across the seventy heuristic–country pairs. The pooled sample comprises the 2,561 investor–heuristic–objective observations from 560 investors for which the follow-up survey elicits an effectiveness rating, restricted to the seven heuristics covered by archival data. Column (1) pools the three financial objectives and includes objective fixed effects  $\lambda_g$ , and Columns (2) through (4) estimate the relation separately for the returns, upside, and stability objectives. All columns include investor fixed effects  $\alpha_i$ . We cluster standard errors at the country level and report them in parentheses. Given the small number of clusters (ten), we base inference on wild-cluster bootstrap  $p$ -values (Webb six-point weights, 9,999 replications), which are 0.001, 0.102, 0.026, and 0.012 in Columns (1) through (4). Statistical significance at the 10%, 5%, and 1% levels is denoted by \*, \*\*, and \*\*\*, respectively.

| Dependent variable: Perceived effectiveness |                      |                   |                     |                     |
|---------------------------------------------|----------------------|-------------------|---------------------|---------------------|
|                                             | (1) All              | (2) Returns       | (3) Upside          | (4) Stability       |
| Historical effectiveness                    | +0.137***<br>(0.016) | +0.128<br>(0.036) | +0.147**<br>(0.040) | +0.209**<br>(0.035) |
| Investor FE                                 | ✓                    | ✓                 | ✓                   | ✓                   |
| Objective FE                                | ✓                    | –                 | –                   | –                   |
| Observations                                | 2,561                | 871               | 771                 | 919                 |
| $R^2$                                       | 0.140                | 0.355             | 0.404               | 0.429               |